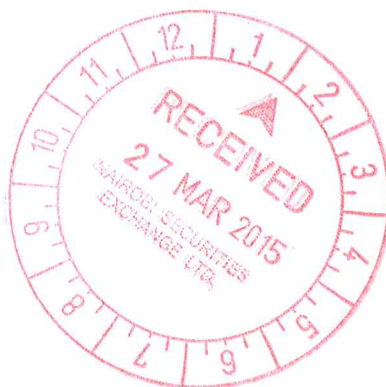


Our Ref: ASM/IMHL/0315/54

March 27, 2015

Mr. Geoffrey Otieno Odundo
Chief Executive
Nairobi Securities Exchange Limited
The Exchange, Westlands Rd
NAIROBI



I&M HOLDINGS LIMITED

I&M Bank House
2nd Ngong Avenue
P.O. Box 30238
00100 Nairobi GPO
Kenya.

Tel: 254-20-3221002
Cell: 0719 088875 / 0732 100002
Email: info@imholdings.co.ke

Dear Sir,

I&M HOLDINGS LIMITED - AUDITED ANNUAL FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

In compliance with the Continuing Listing Obligations, Fifth Schedule of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, we are pleased to advise you that the Audited Financial Statements for the year ended 31st December 2014 were approved by the Board of Directors at their meeting yesterday 26th March 2015.

In this regard, we submit the following statements:

- i) Consolidated and Company Statements of Financial Position;
- ii) Consolidated and Company Statements of Profit or Loss and Other Comprehensive Income;
- iii) Consolidated and Company Statements of Changes in Equity.

Further the Board of Directors approved payment of a final dividend of Kshs 2.90/- per share for the year ended 31st December 2014. This will be payable on or around 14th May 2015 to the shareholders registered on the Company's Register as at the close of business on 30th April 2015.

We intend to publish the results of the Company in the daily newspapers on Monday 30th March 2015 and attach herewith a draft of the publication statement.

Yours faithfully,

Arun S. Mathur
Authorized Signatory

Encl. a/a

I&M HOLDINGS LIMITED

CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2014

		Group		Company	
	Note	2014 KShs'000	2013 KShs'000	2014 KShs'000	2013 KShs'000
Interest income	7	17,591,479	14,483,258	9,817	5,109
Interest expense	8	(7,187,395)	(5,595,544)	-	-
Net interest income		10,404,084	8,887,714	9,817	5,109
Fee and commission income	9	2,221,272	1,959,792	-	-
Fee and commission expense	9	(81,816)	(64,038)	-	-
Net fee and commission income	9	2,139,456	1,895,754	-	-
Revenue		12,543,540	10,783,468	9,817	5,109
Other operating income	10	1,708,892	1,542,237	4,136,177	757,263
Operating income		14,252,432	12,325,705	4,145,994	762,372
Staff costs	11	(2,884,496)	(2,436,801)	-	-
Premises and equipment costs	11	(448,380)	(389,266)	-	-
General administrative expenses	11	(1,580,589)	(1,401,116)	(18,594)	(24,311)
Depreciation and amortisation	11	(418,889)	(444,971)	-	-
Operating expenses		(5,332,354)	(4,672,154)	(18,594)	(24,311)
Operating profit before impairment losses and taxation		8,920,078	7,653,551	4,127,400	738,061
Net impairment losses on loans and advances 17(c)		(857,788)	(472,089)	-	-
		8,062,290	7,181,462	4,127,400	738,061
Share of profit of Joint venture	19(a)	167,604	76,332	-	-
Profit before income tax	12	8,229,894	7,257,794	4,127,400	738,061
Income tax expense	13(a)	(2,495,881)	(2,282,838)	(2,945)	(1,533)
Profit for the year		5,734,013	4,974,956	4,124,455	736,528



I&M HOLDINGS LIMITED

CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2014 INCOME

	Note	Group		Company	
		2014 KShs'000	2013 KShs'000	2014 KShs'000	2013 KShs'000
Profit for the year		5,734,013	4,974,956	4,124,455	736,528
Other comprehensive income					
<i>Items that will never be reclassified to Profit or loss</i>					
Actuarial (loss)/gains on re-measurement of employees benefit scheme		(6,095)	(22,037)	-	-
Revaluation surplus on property, plant and equipment		-	488,953	-	-
<i>Items that may be classified to Profit or loss:</i>					
Net change in fair value of available for sale financial assets		(252,832)	(36,740)	-	-
Related tax	23(b)	77,367	(133,298)	-	-
Foreign currency translation differences		(41,591)	(182,715)	-	-
Related tax – prior period under provision	23(b)	-	58,942	-	-
Revaluation surplus		(4,920)	-	-	-
Deferred tax on revaluation surplus		11,492	-	-	-
Total other comprehensive (loss)/income for the year		(216,579)	173,105	-	-
Total comprehensive income for the year		5,517,434	5,148,061	4,124,455	736,528
Profit attributable to:					
Equity holders of the company		5,320,885	4,611,066	4,124,455	736,528
Non controlling interest		413,128	363,890	-	-
		5,734,013	4,974,956	4,124,455	736,528
Total comprehensive income attributable to:					
Equity holders of the company		5,129,991	4,881,541	4,124,455	736,528
Non controlling interest		387,443	266,520	-	-
		5,517,434	5,148,061	4,124,455	736,528
Basic and diluted earnings Per share - (KShs)					
	14	13.56	11.75	10.51	1.88

I&M HOLDINGS LIMITED

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2014

		Group		Company	
	Note	2014 KShs'000	2013 KShs'000	2014 KShs'000	2013 KShs'000
ASSETS					
Cash and balances with Central Banks	15	11,274,508	8,933,955	61,850	24,731
Placements with Financial Institutions	16	4,937,238	6,050,627	-	-
Loans and advances to Customers	17(a)	112,491,329	91,882,664	-	-
Investment securities	18	38,383,408	26,197,402	-	-
Investment in Joint Venture	19(a)	2,573,560	2,411,973	1,498,815	-
Investment in subsidiaries	19(b)	-	-	19,599,661	17,970,384
Property and equipment	20	2,763,692	2,608,196	-	-
Intangible assets - Goodwill	21(a)	1,174,601	1,174,601	-	-
Intangible assets - Software	21(b)	300,365	175,008	-	-
Prepaid operating lease rentals	22	290,314	241,325	-	-
Tax recoverable	13(b)	24,488	107	-	107
Deferred tax asset	23(a)	574,512	386,285	-	-
Other assets	24	1,676,436	1,138,402	2,457	-
TOTAL ASSETS		176,464,451	141,200,545	21,162,783	17,995,222
LIABILITIES AND SHAREHOLDERS' EQUITY					
Liabilities					
Deposits from banks	25	17,205,630	6,411,628	-	-
Deposits from customers	26	114,201,280	97,145,568	-	-
Deferred tax liability	23(a)	78,821	26,288	-	-
Tax payable	13(b)	24,698	569,712	51	-
Other liabilities	27	2,175,313	1,796,743	51,879	27,918
Long term borrowings	28	14,672,567	11,572,650	-	-
		148,358,309	117,522,589	51,930	27,918
Shareholders' equity					
Share capital	29(b)	392,362	392,362	392,362	392,362
Share premium	29(b)	17,331,510	17,331,510	17,331,510	17,331,510
Revaluation reserve	29(c)	448,726	442,154	-	-
Available-for-sale reserve	29(d)	(342,834)	(161,585)	-	-
Statutory loan loss reserve	29(e)	905,486	218,048	-	-
Retained earnings		7,317,648	3,671,202	3,386,981	243,432
Translation reserve	29(f)	6,346	16,468	-	-
Equity attributable to owners of the company		26,059,244	21,910,159	21,110,853	17,967,304
Non-controlling interest	30	2,046,898	1,767,797	-	-
TOTAL SHAREHOLDERS' EQUITY		28,106,142	23,677,956	21,110,853	17,967,304
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		176,464,451	141,200,545	21,162,783	17,995,222

The financial statements set out on pages 18 to 80 were approved by the Board of Directors on 26 March 2015 and were signed on its behalf by:

Director _____

Director _____

Director _____

Secretary _____

I&M HOLDINGS LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Available for sale Reserve KShs'000	Statutory loan loss reserve KShs'000	Retained earnings KShs'000	Translation reserve KShs'000	Total KShs'000	Non- controlling interest KShs'000	Total KShs'000
At 1 January 2013										
- As previously reported	392,362	17,331,510	141,842	(193,552)	141,176	(79,745)	98,934	17,832,527	1,577,863	19,410,390
Deferred tax	-	-	(42,699)	-	-	-	-	(42,699)	-	(42,699)
At 1 January 2013 - As restated	392,362	17,331,510	99,143	(193,552)	141,176	(79,745)	98,934	17,789,828	1,577,863	19,367,691
Profit for the year	-	-	-	-	-	4,611,066	-	4,611,066	363,890	4,974,956
Other comprehensive income	-	-	343,011	31,967	-	(22,037)	(82,466)	270,475	(97,370)	173,105
Total comprehensive income/(loss)	-	-	343,011	31,967	-	4,589,029	(82,466)	4,881,541	266,520	5,148,061
Statutory loan loss reserve	-	-	-	-	76,872	(76,872)	-	-	-	-
Transactions with owners:										
Pre acquisition reserves	-	-	-	-	-	48,868	-	48,868	-	48,868
Capital Restructuring Costs	-	-	-	-	-	(30,222)	-	(30,222)	-	(30,222)
Interim dividend paid - August 2012	-	-	-	-	-	(34,368)	-	(34,368)	-	(34,368)
Dividend paid - Interim 2013	-	-	-	-	-	(745,488)	-	(745,488)	(76,586)	(822,074)
At 31 December 2013	392,362	17,331,510	442,154	(161,585)	218,048	3,671,202	16,468	21,910,159	1,767,797	23,677,956

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I&M HOLDINGS LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Available for sale Reserve KShs'000	Statutory loan loss reserve KShs'000	Retained earnings KShs'000	Translation reserve KShs'000	Total KShs'000	Non- controlling interest KShs'000	Total KShs'000
At 1 January 2014	392,362	17,331,510	442,154	(161,585)	218,048	3,671,202	16,468	21,910,159	1,767,797	23,677,956
Profit for the year	-	-	-	-	-	5,320,885	-	5,320,885	413,128	5,734,013
Other comprehensive income	-	-	6,572	(181,249)	-	(6,095)	(10,122)	(190,894)	(25,685)	(216,579)
Total comprehensive income/(loss)	-	-	6,572	(181,249)	-	5,314,790	(10,122)	5,129,991	387,443	5,517,434
Statutory loan loss reserve	-	-	-	-	687,438	(687,438)	-	-	-	-
Transactions with owners:										
Interim Dividends paid	-	-	-	-	-	(980,906)	-	(980,906)	(108,342)	(1,089,248)
At 31 December 2014	392,362	17,331,510	448,726	(342,834)	905,486	7,317,648	6,346	26,059,244	2,046,898	28,106,142

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I&M Holdings Limited

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2014

	2014 KShs ('000)	2013 KShs ('000)
ASSETS		
Cash and balances with Central Banks	11,274,508	8,933,955
Placements with Financial Institutions	4,937,238	6,050,627
Loans and advances to Customers	112,491,329	91,882,664
Investment securities	38,383,408	26,197,402
Investment in Joint Venture	2,573,560	2,411,973
Property and equipment	2,763,692	2,608,196
Intangible assets - Goodwill	1,174,601	1,174,601
Intangible assets - Software	300,365	175,008
Prepaid operating lease rentals	290,314	241,325
Tax recoverable	24,488	107
Deferred tax asset	574,512	386,285
Other assets	1,676,436	1,138,402
TOTAL ASSETS	176,464,451	141,200,545
LIABILITIES AND SHAREHOLDERS' EQUITY		
Liabilities		
Deposits from banks	17,205,630	6,411,628
Deposits from customers	114,201,280	97,145,568
Deferred tax liability	78,821	26,288
Tax payable	24,698	569,712
Other liabilities	2,175,313	1,796,743
Long term borrowings	14,672,567	11,572,650
Total Liabilities	148,358,309	117,522,589
Shareholders' equity		
Share capital	392,362	392,362
Share premium	17,331,510	17,331,510
Retained earnings	7,317,648	3,671,202
Revaluation reserve	448,726	442,154
Statutory loan loss reserve	905,486	218,048
Translation reserve	6,346	16,468
Available-for-sale reserve	(342,834)	(161,585)
Equity attributable to owners of the Company	26,059,244	21,910,159
Non-controlling interest	2,046,898	1,767,797
Total Shareholders' equity	28,106,142	23,677,956
LIABILITIES AND SHAREHOLDERS' EQUITY	176,464,451	141,200,545

COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2014

	2014 KShs ('000)	2013 KShs ('000)
ASSETS		
Cash and Bank Balances	61,850	24,731
Tax recoverable	-	107
Investment in Joint Venture	1,498,815	-
Investment in subsidiary	19,599,661	17,970,384
Other assets	2,457	-
TOTAL ASSETS	21,162,783	17,995,222
LIABILITIES AND SHAREHOLDERS' EQUITY		
Liabilities		
Tax payable	51	-
Other liabilities	51,879	27,918
Total Liabilities	51,930	27,918
Shareholders' equity		
Share capital	392,362	392,362
Share premium	17,331,510	17,331,510
Retained earnings	3,386,981	243,432
Total Shareholder's Equity	21,110,853	17,967,304
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	21,162,783	17,995,222

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2014

	2014 KShs ('000)	2013 KShs ('000)
Net interest income	10,404,084	8,887,714
Net fee and commission income	2,139,456	1,895,754
Other operating income	1,708,892	1,542,237
Operating income	14,252,432	12,325,705
Operating expenses	(5,332,354)	(4,672,154)
Net impairment losses on loans and advances	(857,788)	(472,089)
Profit before income tax	8,062,290	7,181,462
Share of Profit of Joint venture	167,604	76,332
Profit before income tax	8,229,894	7,257,794
Income tax expense	(2,495,881)	(2,282,838)
Profit for the year/period	5,734,013	4,974,956
Basic and diluted Earnings Per share - (KShs)	13.56	11.75

Message from the Directors

The Board of Directors of I&M Holdings Limited is pleased to announce the audited consolidated results for the year ended 31 December 2014.

Basis of preparation

These condensed financial statements are an extract from its audited financial statements for the period ended 31 December 2014 which have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The financial statements were audited by Deloitte & Touche and received an unqualified opinion. The financial statements were approved by the Board of Directors on 26 March 2015 and were signed on its behalf by Messrs Daniel Ndonye, Sarit S. Raja Shah and Guedi MM. Ainache.

Dividends

The dividend in respect of the financial year 2013 of KShs 2.50 was declared by way of an interim dividend in 2014.

The Directors recommend payment of a final dividend of KShs 2.90 per share for the year ended 31 December 2014.

The final dividend will be payable to shareholders registered in the Company's Register at the close of business on 30 April 2015 and will be paid on or around 14 May 2015.

The complete set of audited financial statements can be accessed on the institution's website www.imbank.com as well as at the registered office at I&M Bank House, 2nd Ngong Avenue, Nairobi.

Notice of the Annual General Meeting

Notice is hereby given that the sixty third Annual General Meeting of the shareholders of the Company will be held at Serena Hotel, Nairobi on 12 May 2015 at 10:00 am.

BY ORDER OF THE BOARD

DANIEL NDONYE
CHAIRMAN
30 MARCH 2015